system and the DIY system (MA and TMOM) dramatically reduce max drawdowns. This implies that trend-following rules, at least over this sample period, helped to blunt extreme loss scenarios.

Out-of-Sample Performance

The evidence presented suggests that a DIY framework is more effective than either the Ivy 5 or 60/40 concept. However, the period we analyze—1992 to 2014—is short in nature. We want to be careful not to extrapolate the performance associated with DIY into the future. To contextualize the outperformance of DIY, we must ask two questions:

- What drove the DIY outperformance?
- Do we believe the drivers of outperformance will continue to be effective in the future?

DIY outperformance relative to the Ivy 5 concept was driven by a combination of security selection (value and momentum—shown in Table 9.6) and an enhanced risk management concept (adding TMOM alongside MA—shown in Table 9.7). We explored the robustness of our security selection enhancements and our risk-management system in Chapters 7 and Chapters 8. Both of these features performed admirably in periods prior to 1992. While one can never be certain, it seems reasonable to hypothesize that a DIY approach would have outperformed in an out-of-sample period prior to 1992. Unfortunately, we do not have the data on international value and momentum to confirm this hypothesis. However, we can conduct a quasi out-of-sample test from 1976 to 1991 by replacing the international value and momentum exposures with a generic passive index exposure (i.e., MSCI EAFE Total Return Index). We present our findings in Table 9.8. Similar to Table 9.7, we assume that if we move into cash, we receive the risk-free rate of return (90-day T-bills). Results are shown gross of any transaction or management fees and include the reinvestment of dividends.